Internal Audit Report

Q1 - 2020

Byblos Bank Syria

تقرير التدقيق الداخلي

الفصل الأوّل ٢٠٢٠

بنك بيبلوس سورية

To the Audit Committee Members:

- Mr. Muhammad Marwan al Hakim
- Mr. Selim Stephan

CC:

- Mr. Alain Wanna, Chairman of the Board
- Mr. Karam Bechara, General Manager
- Mr. Walid Kazan, AGM - Head of Foreign Banking Units Support - BBL
- Mr. Fadi Abou-Abdallah, Head of Group Internal Audit

Prepared by:

Talal Aboulchamat, Head of internal Audit - BBS

Reflects status of the Bank as at March 31, 2020 - Report issued on May 11, 2020

إلى أعضاء لجنة التدقيق:

- السيد محمد مروان الحكيم
- السيد سليم اسطفان

نسخة إلى السادة:

- السيد ألان ونّا، رئيس مجلس الإدارة
- السيد كرم بشارة، المدير العام
- السيد وليد قازان، مدير عام مساعد - مدير دعم الوحدات المصرفية الخارجية لمجموعة بنك بيبلوس
- السيد فادي أبوعبدالله، مدير التدقيق الداخلي لمجموعة بنك بيبلوس

أعدّ من قبل:

طلال أبو الشامات، مدير التدقيق الداخلي في بنك بيبلوس سورية

هذا التقرير يظهر وضعية بنك بيبلوس سورية بتاريخ ٣١ آذار ٢٠٢٠ وصادر بتاريخ ١١ أيّار ٢٠٢٠

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INTRODUCTION

In the first quarter of 2020, we followed-up on all outstanding issues at BBS. The table below shows the number of issues raised by Internal Audit, the number of issues solved by BBS Management, and the number of issues that were still outstanding as at March 31, 2020.

مقدّمة

في الربع الأوّل من العام ٢٠٢٠، تمّت متابعة جميع النقاط العالقة في بنك بيبلوس سورية. إنّ الجدول المبيّن أدناه يظهر عدد نقاط الضعف التي تمّت الإشارة إليها من التدقيق الداخلي، وعدد النقاط التي تمّ تصويبها، وتلك التي ما زالت عالقة حتّى تاريخ ٣١ آذار ٢٠٢٠.

PROCESS BASED AUDIT ISSUES

	Q4 2019	Added	Solved	Adj *	Q1 2020
IT Audit					
High	1	0	0	0	**1**
Medium	10	0	1	0	**9**
Low	5	0	1	0	**4**
Total	**16**	**0**	**2**	**0**	**14**
Operations Audit					
High	1	0	0	0	**1**
Medium	17	0	3	0	**14**
Low	16	0	0	0	**16**
Total	**34**	**0**	**3**	**0**	**31**
Credit Review					
High	0	0	0	0	**0**
Medium	1	0	0	0	**1**
Low	0	0	0	0	**0**
Total	**1**	**0**	**0**	**0**	**1**
CBoS Issues					
High	0	0	0	0	**0**
Medium	0	0	0	0	**0**
Low	0	0	0	0	**0**
Total	**0**	**0**	**0**	**0**	**0**
Total					
High	2	0	0	0	**2**
Medium	28	0	4	0	**24**
Low	21	0	1	0	**20**
Total	**51**	**0**	**5**	**0**	**46**

AGING IN MONTHS

	0-6	6-12	12-24	>24	Total
IT Audit					
High	0	1	0	0	**1**
Medium	0	3	5	1	**9**
Low	0	3	1	0	**4**
Total	**0**	**7**	**6**	**1**	**14**
Operations Audit					
High	1	0	0	0	**1**
Medium	1	7	5	1	**14**
Low	3	1	12	0	**16**
Total	**5**	**8**	**17**	**1**	**31**
Credit Review					
High	0	0	0	0	**0**
Medium	0	0	1	0	**1**
Low	0	0	0	0	**0**
Total	**0**	**0**	**1**	**0**	**1**
CBoS Issues					
High	0	0	0	0	**0**
Medium	0	0	0	0	**0**
Low	0	0	0	0	**0**
Total	**0**	**0**	**0**	**0**	**0**
Total					
High	1	1	0	0	**2**
Medium	1	10	11	2	**24**
Low	3	4	13	0	**20**
Total	**5**	**15**	**24**	**2**	**46**

BRANCH AUDIT ISSUES **

	Q4 2019	Added	Solved	Adj *	Q1 2020
High	17	2	1	0	**18**
Medium	32	2	3	0	**31**
Low	43	6	3	0	**46**
Total	**92**	**10**	**7**	**0**	**95**

** Adjusted issues include upgraded, downgraded and merged issues*

*** Compliance based issues where the count may include the same issue recurring in several branches*

GENERAL OVERVIEW

CBOS Circulars and Decisions

During Q1 2020, CBoS issued several circulars for banks to abide by:

- Circular no. 1734/16 issued by CBoS in March 2020, requesting from banks to prepare an action plan to prevent the adverse effects of the coronavirus with an immediate implementation starting from the circular date, as follows:

1- Organize branches and head office working hours to ensure business continuity with a minimum number of hours and allow exceptions in employees' attendance (e.g. pregnant women etc.).

2- Possibility to close a certain number of branches provided that the remaining number of operating branches does no go below 2 branches in the same district, respecting the necessary geographical distance and ensuring that related ATMs are properly working.

3- Limit the bank's activity to provide the basic services to customers as follows:
   - Cash withdrawals/deposits and collection transactions into clients' accounts.
   - Transfers between clients' accounts.
   - The possibility of suspending opening of new accounts.
   - Suspending new credit facilities except for emergency cases such as overdrafts.
   - Limiting import financing operations to basic materials and commodities.
   - Ensuring proper replenishment and continuous maintenance of the banks' ATMs.
   - Ensuring that employees are receiving their salaries and other related compensation benefits.

4- Report on the bank's website or through any other means, the provided services during this exceptional period and the locations for providing them.

5- Submit to the CBoS within 3 working days from the circular date (22/3/2020), the action plan for approval on branches to be closed

نظرة عامّة

قرارات وتعاميم مصرف سورية المركزي

خلال الربع الأوّل من العام ٢٠٢٠، أصدر مصرف سورية المركزي عدّة تعاميم ملزمة للمصارف:

- تعميم مصرف سورية المركزي رقم ١٦/١٧٣٤ الصادر في آذار ٢٠٢٠، يطلب من المصارف إعداد خطّة عمل طارئة لمواجهة تأثيرات فيروس كورونا مع تطبيق فوري بدأً من تاريخ التعميم، وفق الاتي:

١- تنظيم دوام العاملين في إدارة وفروع المؤسسّة بالحدّ الأدنى وفق تقدير الإدارة بما يضمن إستمرار العمل بالشكل الملائم ويرعى إعطاء الأولوية لمن سيتمّ إعفائهم من الدوام (مثلاً الحوامل، إلخ).

٢- يجوز إغلاق عدد من الفروع بشكل كلّي، شريطة ألا يقلّ عدد الفروع المستمرة في العمل على فرعين كحدّ أدنى في كلّ محافظة مع مراعاة البعد الجغرافي اللازم لدى تحديدها، وضمان إستمرار عمل الصرافات الآلية العائدة للفروع المقرّر إغلاقها إن وجدت.

٣- إقتصار نشاط المؤسّسة على تقديم الخدمات الأساسية للمتعاملين وفق الاتي:
   - تلبية متطلّبات السحب والإيداع والتحصيل في الحسابات المفتوحة للمتعاملين.
   - الإستمرار بتنفيذ الحوالات بين حسابات المتعاملين.
   - إمكانية تعليق عملية فتح الحسابات الجديدة.
   - تعليق منح التسهيلات الإئتمانية الجديدة بكافة أنواعها لدى المؤسّسة، وإقتصار تنفيذ العمليات الموافق عليها على الحالات الإضطرارية منها لاسيّما الجاري المدين، وفق تقدير المصرف.
   - إقتصار عمليات تمويل المستوردات لدى المصارف على المواد والسلع الأساسية.
   - تغذية الصرافات الآلية العائدة للمصرف وإجراء الصيانة اللازمة لها بشكل دائم ومستمر.
   - إستمرار الأعمال الإدارية اللازمة لصرف رواتب ومستحقات العاملين لدى المؤسّسة.

٤- تلتزم المؤسسّة بالإعلان للجمهور عن الخدمات المصرفية المقدّمة خلال هذه الفترة الإستثنائية وأماكن تقديم هذه الخدمات وذلك على الموقع الإلكتروني للمؤسّسة وأيّة وسيلة متاحة لاطلاع الجمهور.

٥- تلتزم المؤسّسة بموافاة مصرف سورية المركزي/مديرية مفوضية الحكومة لدى المصارف بخطّة العمل المعتمدة وفق التعليمات المبينة أعلاه

completely or partially.

خلال ٣ أيّام عمل من تاريخه لدراسة واستصدار ما يلزم أصولا من موافقات لتغطية الإجراءات المتخذة من عمليات توقّف عن العمل كلّي/جزئي لفرع المؤسّسة والتي تمّت في إطار الخطّة المذكورة حيث ينطبق.

- Circular no. 1653/16 issued by CBoS in March 2020, regarding the importance of banks having a comprehensive Management Information System (MIS) which contributes in strengthening the internal controls, reinforcing the supervisory role of the Board of Directors and its related committees and supporting the executive management. The reporting system should be flexible enough to be able to be updated and enhanced when needed in compliance with the regulatory requirements. The reports should be:
  1. Available upon request and on a continuous basis, allowing external and internal parties to monitor the bank's activities and detect any weaknesses in order to apply corrective actions.
  2. Developed based on analytical data with proper recommendations.
  3. Followed-up periodically.
  4. Flexible enough to be modified upon need.

- تعميم رقم ١٦/١٦٥٣ الصادر من قبل مصرف سورية المركزي في آذار ٢٠٢٠، يتعلّق بأهمية وجود نظام معلومات إداري شامل في المصرف يعتبر ركناً أساسياً في تقوية نظم الرقابة الداخلية، وتعزيز الدور الإشرافي لمجلس الإدارة واللجان المنبثقة عنه بشكل فعّال ومستمر ويدعم دور الإدارة التنفيذية للقيام بمهامها على النحو المطلوب. يتوجّب على نظام التقارير أن يكون مرنّاً بشكل كاف بحيث يكون قابلاً للتحديث والتحسين ومتكاملاً عند الحاجة بما يتوافق مع متطلّبات القرارات التنظيمية.

إن التقارير يجب أن تكون:

١- جاهزة عند الطلب وبشكل مستمر وتتيح للجهّات الداخلية والخارجية المتابعة الدقيقة لنشاط المصرف وأداءه والوقوف في الوقت المناسب على أيّة نقاط ضعف بما يضمن طرح الحلول واتخاذ الإجراءات العلاجية الملائمة.

٢- غير توصيفية وتقوم على مبدأ التحليل للمعطيات المتاحة مشفوعة مع التوصيات الملائمة.

٣- تستوجب المتابعة وفق الدورية المحدّدة.

٤- تتمتع بالمرونة اللازمة وفق المستجدات المحتملة على المدخلات.

Mr. Karam Bechara (General Manager)

CBOS Circulars and Decisions

Circular no. 1734/16: Plan sent to CBOS on 24/03/2020; our ref. 39/GM/2020

Circular no. 1653/16: We dispatched the Circular to all Heads to make sure that all required reports comply with the above mentioned Circular. In addition, a new reporting module is part of the new core banking system that BBS acquired, and is scheduled to go live at the end of 2021. The new core banking system will remain in compliance with this circular.

السيّد كرم بشارة - المدير العام

قرارات وتعاميم مصرف سورية المركزي

تعميم مصرف سورية المركزي رقم ١٦/١١٧٣٤: تمّ ارسال الخطّة الى المصرف المركزي بتاريخ ٢٠٢٠/٣/٢٤ وبمرجع ٢٠٢٠/GM/٣٩.

تعميم رقم ١٦/١٦٥٣ الصادر من قبل مصرف سورية المركزي: أرسلنا التعميم إلى جميع المدراء للتأكّد من أنّ جميع التقارير المطلوبة تتوافق مع التعميم المذكور أعلاه. بالإضافة إلى ذلك، تعتبر وحدة إعداد نماذج التقارير الجديدة جزءً من النظام المصرفي المركزي الجديد الذي استحوذ عليه بنك بيبلوس سورية، ومن المقرّر أن يبدأ العمل به في نهاية عام ٢٠٢١. كما أنّ النظام المصرفي المركزي الجديد سوف يبقى متوافقًا مع هذا التعميم.

CBoS Internal Controller Reports

During Q1 2020, CBoS internal controller issued four reports pertaining to the review over the financial statements as of 31/12/2019, the financial reports of December 2019 and January 2020, and over the compliance with IFRS9 instructions related to the financial statements as

تقارير المراقبين الداخليين لمصرف سورية المركزي

خلال الربع الأوّل من عام ٢٠٢٠، قام مراقبو مصرف سورية المركزي بإصدار أربعة تقارير، وهذه التقارير متعلّقة بالتدقيق على نماذج البيانات المالية المعدّة للنشر الموقوفة بتاريخ ٢٠١٩/١٢/٣١، الأوضاع المصرفية العائدة لشهري كانون الأوّل ٢٠١٩ وكانون الثاني ٢٠٢٠، الإلتزام بتعليمات تطبيق معيار التقارير المالية الدولي رقم ٩ المتضمنة تدقيق نماذج عن بيانات المصرف الموقوفة بتاريخ

of 30/06/2019.

The main observations can be summarized as follows:

1- The bank's violation of CBoS decision, which states that the bank's deposits, placements, and other financial relationships with its Group, including the securities issued by the group, should not exceed 100% of its net equities, where the excess amounted to 1,410,987 thousands of Syrian pounds.
2- Improper reporting to CBoS of net operational FX position and manual adjustment on FX results' account.
3- Nine MDs were not cancelled or extended on T24, although they were matured.
4- Improper reporting of other provisions related to local and foreign banks, LGs and non-performing loans since manual interventions were noted on related balances.
5- The Expected Credit Loss (ECL) related to the blocked deposit with CBoS representing 10% of the Capital was not calculated.
6- The Probability of Default (PD) for exposures in SYP with local banks was not calculated as stipulated in decision no. 4 related to IFRS guidelines.
7- Inaccurate calculation of the Expected Credit Loss (ECL) in SYP currency for facilities granted to large commercial companies.
8- Inaccurate maturity and loan date for one client.
9- Interests' rates were not recorded on CBoS template No. 5 for 209 clients.
10- Interests in arrears were not computed for two clients with late payments.
11- Inaccurate data related to loans written-off for two clients.
12- Inaccurate reporting of the Expected Credit Loss amount for direct credit facilities in SYP related to accidentally overdrawn accounts etc.

Karam Bechara (General Manager)

1- Excess is due to devaluation of SYP currency, currently working on schema to resolve all violation of 501 CBoS Memo.
2- "We properly reported the position but due to system error we did adjustment entries to correct wrong swap entries done by system,

٢٠١٩/٦/٣٠.

يمكن تلخيص الملاحظات الرئيسية على الشكل التالي:

١- مخالفة قرار مصرف سورية المركزي والذي ينصّ على ألا يتخطّى مجموع إيداعات وتوظيفات المصرف وارتباطاته المالية الناشئة عن بنود داخل الميزانية مع مجموعته المصرفية بما في ذلك الاوراق المالية الصادرة عن تلك المجموعة نسبة ١٠٠% من الأموال الخاصّة الصافية، حيث بلغ التجاوز مبلغاً وقدره ١،٤١٠،٩٨٧ ألف ليرة سورية.
٢- عدم دقّة التقارير المرسلة للمصرف المركزي فيما يخصّ مركز القطع التشغيلي الصافي وتعديلات يدوية على الحساب المخصّص لنتائج عمليات القطع الأجنبي.
٣- ٩ ضمانات (MDs) لم يتمّ إلغاؤها أو تمديدها على نظام T24 بالرغم من إستحقاقها.
٤- عدم دقّة التصريح على المؤونات الأخرى المخصّصة للمصارف المحلية والمصارف الأجنبية والكفالات والديون غير المنتجة حيث تمّ لحظ تعديلات يدوية على تلك الأرصدة.
٥- لم يتمّ إحتساب الخسارة الإئتمانية المتوقّعة الخاصّة بالوديعة المجمّدة لدى المصرف المركزي والتي تمثّل ١٠% من رأس المال المدفوع.
٦- لم يتمّ إحتساب إحتمالية التعثّر للمصارف المحلية فيما يخصّ التعرّضات بالليرة السورية كما نصّ القرار رقم ٤ الخاص بتعليمات معيار تقارير المالية الدولية.
٧- إحتساب غير صحيح للخسائر الإئتمانية المتوقّعة بالليرة السورية فيما يخصّ أرصدة الشركات التجارية الكبرى.
٨- تاريخ منح قرض واستحقاقه كانا غير صحيحين لعميل واحد.
٩- لم يتمّ تسجيل معدّلات الفائدة على نموذج مصرف سورية المركزي رقم ٥ لـ ٢٠٩ عملاء.
١٠-لم يتمّ تسجيل فوائد تأخير على عميلين متأخرين في السداد.
١١-بيانات غير دقيقة متعلّقة بقروض مشطوبة لعميلين إثنين.
١٢-تصريح غير دقيق للخسائر الإئتمانية المتوقّعة مقابل التسهيلات بالليرة السورية المباشرة والتي تخصّ الحسابات المدينة صدفة.

السيّد كرم بشارة - المدير العام

١- سبب الزيادة يعود الى إنخفاض في قيمة العملة السورية، وحالياً يتمّ العمل على خطّة لحلّ جميع تجاوزات مذكّرة مصرف سورية المركزي رقم ٥٠١.

٢- تمّ التصريح بشكل صحيح على مركز القطع ولكن نتيجة خطأ بالنظام تمّ إدخال قيود التسوية (التعديل) لتصحيح قيود عملية مبادلة خاطئة من قبل النظام، تمّ حلّ المشكلة

issue solved and system corrected on Feb-2020".

4- "Translation need to be reviewed, controller didn't reconcile with adjusting entry file sent to him" below original communication:

قصور المصرف في الإلتزام بالقواعد العامّة لإعداد البيانات المالية الدورية للأوضاع المصرفية الصادرة بموجب قرار السيد رئيس مجلس الوزراء رقم ٤٨٤٤ تاريخ ٢٠٠٤/٨/٥ وذلك لدقّة التصريح والتصنيف بإعداد النموذج رقم (٢) المطاليب. فقد تبيّن أثناء عملية تدقيق الحساب رقم ٢٣٧٢٠ الخاص بالمؤونات الأخرى، وجود تعديلات على الحسابات المجمّعة الرئيسية رقم SYBS.7125 و SYBS.7127 المخصّصين لمؤونات المصارف المحلية والمصارف الأجنبية برصيد كلّ منهما على التتالي ٢,٠٠٥,٠٠٠ ل.س و٢,٢١٠,٧٦٤,٠٠٠ ل.س، بالإضافة إلى الحساب رقم SYBS.1490 المخصص لمؤونات الكفالات حيث تمّ طرح وإضافة عدد من المبالغ بشكل يدوي وبالتالي يرجى إيضاح سبب التعديل على الحسابات المذكورة وبيان آلية إحتساب هذه المبالغ بشكل تفصيلي.

رد الإدارة التنفيذية:
إنّ هذه القيود تعود إلى شهر كانون الأوّل ٢٠١٩ حيث إن لم يتمّ إجراء القيود على النظام المصرفي بانتظار إنتهاء المدقّق الخارجي من التدقيق لإدخال الأرقام النهائية وعدم إرهاق النظام والجهّات الرقابية بقيود تعديل متعدّدة. وتمّ التنويه في الإيميل المرسل من قبلنا والعائد لقيود التسوية لشهر كانون الثاني ٢٠٢٠ لحضرتكم بأن يتمّ الأخذ بعين الإعتبار قيود التعديل لشهر ١٢-٢٠١٩.

تعقيب المراقب المصرفي الداخلي:
ردّ الإدارة التنفيذية كافي شريطة أن يتمّ تزويدنا بجميع قيود التسوية التي تبرّر هذه التعديلات فور الإنتهاء من التدقيق الخارجي واعتمادها.

5- "After meeting with CBoS we agreed to be exempted and no ECL allocated" Reply Email 24-Feb-2020.

6- The PD for banks was calculated depending on External rating agency S&P and CBOS law N4 require that the PD should be non-less 0.05%.

7- The ECL calculation is right and no change in ECL the note is about difference in Template N1-2 equal to 400 K SYP related to change in client classification (SME and Corporate) not ECL calculation and we will try to avoid in 31/12/2019 Template.

8- "It was corrected and disclosed to CBoS" Reply Email 24-Feb-2020.

وتمّ تصحيح النظام في شباط ٢٠٢٠.

٤- الترجمة تحتاج الى مراجعة، حيث أنّ المراقب المصرفي الداخلي لم يعمد إلى المطابقة مع ملف قيود التعديل المرسلة له. تجدون المراسلة الأصلية مذكورة في ردّ الإدارة:

قصور المصرف في الإلتزام بالقواعد العامّة لإعداد البيانات المالية الدورية للأوضاع المصرفية الصادرة بموجب قرار السيد رئيس مجلس الوزراء رقم ٤٨٤٤ تاريخ ٢٠٠٤/٨/٥ وذلك لدقّة التصريح والتصنيف بإعداد النموذج رقم (٢) المطاليب. فقد تبيّن أثناء عملية تدقيق الحساب رقم ٢٣٧٢٠ الخاص بالمؤونات الأخرى، وجود تعديلات على الحسابات المجمّعة الرئيسية رقم SYBS.7125 و SYBS.7127 المخصّصين لمؤونات المصارف المحلية والمصارف الأجنبية برصيد كلّ منهما على التتالي ٢,٠٠٥,٠٠٠ ل.س و٢,٢١٠,٧٦٤,٠٠٠ ل.س، بالإضافة إلى الحساب رقم SYBS.1490 المخصص لمؤونات الكفالات حيث تمّ طرح وإضافة عدد من المبالغ بشكل يدوي وبالتالي يرجى إيضاح سبب التعديل على الحسابات المذكورة وبيان آلية إحتساب هذه المبالغ بشكل تفصيلي.

رد الإدارة التنفيذية:
إنّ هذه القيود تعود إلى شهر كانون الأوّل ٢٠١٩ حيث إن لم يتمّ إجراء القيود على النظام المصرفي بانتظار إنتهاء المدقّق الخارجي من التدقيق لإدخال الأرقام النهائية وعدم إرهاق النظام والجهّات الرقابية بقيود تعديل متعدّدة. وتمّ التنويه في الإيميل المرسل من قبلنا والعائد لقيود التسوية لشهر كانون الثاني ٢٠٢٠ لحضرتكم بأن يتمّ الأخذ بعين الإعتبار قيود التعديل لشهر ١٢-٢٠١٩.

تعقيب المراقب المصرفي الداخلي:
ردّ الإدارة التنفيذية كافي شريطة أن يتمّ تزويدنا بجميع قيود التسوية التي تبرّر هذه التعديلات فور الإنتهاء من التدقيق الخارجي واعتمادها.

٥- بعد اجتماعنا مع المصرف المركزي، اتفقنا على الاعفاء وعدم تخصيص خسائر إئتمانية متوقّعة. الردّ بالبريد الإلكتروني تاريخ ٢٤-٢-٢٠٢٠.

٦- تمّ احتساب إحتمالية التعثّر "PD" للمصارف إعتمادًا على وكالة التصنيف الخارجي S&P وقانون مصرف سورية المركزي رقم ٤ يتطلّب بألا تكون الـ PD أقلّ من ٠,٠٥ ٪.

٧- إنّ إحتساب الخسائر الإئتمانية المتوقّعة (ECL) صحيح ولا يوجد أيّ تغيير في ECL، والملاحظة هي الإختلاف في النموذج N1-2 الذي يساوي ٤٠٠ ألف ليرة سورية والعائد للتغير في تصنيف العميل (SME and Corporate) وليس إحتساب ECL وسنحاول تجنّبه في نموذج ٢٠١٩/١٢/٣١.

٨- "تمّ تصحيحه والإفصاح عنه الى مصرف سورية المركزي". الردّ في البريد الإلكتروني تاريخ ٢٠٢٠/٢/٢٤.

9- *"Data distribution was not available due to lack of time to develop en extraction process, issue solved and reported in next quarter" Reply Email 24-Feb-2020.*

11- *"Controller used wrong file to control, issue communicated and solved" Reply Email 24-Feb-2020.*

12- *The change in amount is related to client classification (SME and Corporate) and we will try to avoid in 31/12/2019 Template.*

Audit Comment: we enquired with the internal controller about point no 4 regarding the improper reporting of other provisions and he informed us that the point is still pending awaiting that the performed manual adjustments are validated by the external auditors.

Penalties and warning letters

During Q1 2020, BBS was subject to penalties reaching a total of SYP 520K as follows:

1- SYP 20,000, for the inaccurate preparation of the financial statements for Q1 2016.

2- SYP 150,000, for the inaccurate reporting of the concentration risk for the period November 2015 till May 2016.

3- SYP 200,000, for the inaccurate reporting of the FX position during several dates in 2015 and 2016.

4- SYP 50,000, for BBS Management not exerting sufficient effort to reinforce the role of the internal controllers' team in the bank in 2016.

5- SYP 100,000, for not reviewing the non-disclosure agreement related to banking secrecy signed by the archiving companies' employees.

And 4 warning letters as follows:

1- Absence of an official contract signed with the archiving company representatives at the Bank and not archiving the new Bank's documents and old ones according to an action plan set over 2 years.

2- No adequate training provided by the Bank to the archiving companies' representatives concerning proper safeguarding of the documents and absence of handing over

٩- *"لم يكن توزيع البيانات متاحاً وذلك لضيق الوقت من أجل تطوير عملية الإستخراج من النظام، وقد تمّ حلّ المشكلة والإبلاغ عنها في الربع التالي". الردّ في البريد الإلكتروني في ٢٤ شباط ٢٠٢٠ .*

١١- *"إستخدم المراقب المصرفي الداخلي ملفاً خاطئاً في عملية الرقابة، تمّ التحدّث عن هذه النقطة وتمّ حلّه". الردّ في البريد الإلكتروني في ٢٤ شباط ٢٠٢٠ .*

١٢- *التغيير في المبلغ يتعلّق بتصنيف العملاء (الشركات الصغيرة والمتوسّطة والشركات الكبرى) وسنحاول تجنّبه في نموذج ٢٠١٩/١٢/٣١ .*

تعقيب التدقيق الداخلي: استفسرنا من المراقب المصرفي الداخلي حول النقطة رقم ٤ فيما يتعلّق بعدم دقّة التصريح على المؤونات الأخرى، وأعلمنا أنّ النقطة لا تزال معلّقة في انتظار مصادقة المدقّقين الخارجيين على صحّة قيود التسوية التي تتم بشكل يدوي.

كتب الإنذار والغرامات المالية

خلال الربع الأوّل من العام ٢٠٢٠، تعرّض بنك بيبلوس سورية لعدّة غرامات ماليّة بلغت قيمتها ٥٢٠ ألف ليرة سوريّة، مفصّلة على الشكل التالي:

١- ٢٠،٠٠٠ ليرة سورية، نتيجة عدم دقّة إعداد النماذج الخاصّة بالبيانات المالية الدورية للأوضاع المصرفية التقليدية وذلك عن بيانات الربع الأول من العام ٢٠١٦.

٢- ١٥٠،٠٠٠ ليرة سورية، نتيجة عدم دقّة التصريح عن البيانات الخاصّة بمخاطر التركيزات المصرفية وذلك عن الفترة من شهر تشرين الثاني ٢٠١٥ ولغاية شهر أيّار ٢٠١٦.

٣- ٢٠٠،٠٠٠ ليرة سورية، نتيجة عدم الدقّة في إعداد النماذج الخاصّة بمراكز القطع الأجنبي في عدّة تواريخ خلال العامين ٢٠١٥ و٢٠١٦.

٤- ٥٠،٠٠٠ ليرة سورية، نتيجة عدم قيام إدارة بنك بيبلوس سورية ببذل الجهد الكافي لتعزيز دور فريق المراقبين الداخليين للمصرف في العام ٢٠١٦.

٥- ١٠٠،٠٠٠ ليرة سورية، نتيجة عدم مراجعة إتفاقية عدم الإفشاء المتعلّقة بالسرّية المصرفية الموقّعة من قبل موظّفي شركة الأرشفة الإلكترونية.

و٤ كتب إنذار مفصّلين على الشكل التالي:

١- عدم تنظيم عقد أصولي للمصرف مع مندوبي شركة الأرشفة الإلكترونية المتواجدين في مبنى المصرف، وعدم أرشفة مستندات المصرف الجديدة والقديمة وفق خطّة زمنية معتمدة موضوعة لعامين.

٢- عدم خضوع موظّفي شركة الأرشفة الإلكترونية لتدريب كاف من المصرف لجهّة فيما يتعلّق بعملية حفظ المستندات بالشكل الصحيح إضافةً إلى عدم وجود محاضر إستلام وتسليم بين المصرف وشركة الأرشفة

documentation between the Bank and the archiving company and between the Bank's employees (archiving officer and the storekeeper).

3- Granting some clients more than one checkbook on the same account at the same time.

4- Failure to provide promptly the Banking Supervision Department with the required supporting documents; in addition, to providing misleading information.

Karam Bechara (General Manager)

Related to 2016 and have been corrected Concerning the e-archiving, we sent our reply on 19/03/2020; our ref. 37/GM/2020 (attached).

BRANCH NETWORK

During Q1 2020, we issued the audit report related to Mazzeh branch and the overall control environment was Acceptable. Also, we started the audit over Abbasiyeen Branch and Bab Sharki office.

OPERATIONS

During Q1 2020, we finalized the Central Operations Unit audit report and the control environment was assessed as Acceptable (report was issued on April 1st, 2020). In addition, we finished the audit over the Risk Management Unit and the report is in progress.

INFORMATION TECHNOLOGY

BBS Core Banking System: On March 2020, BBS Management signed the contract with LYST Technologies Company to acquire the new core banking system with an expected delivery date and go live on March 2022.

SYGS (Syrian Gross Settlement System Provided by CBoS): The SYGS system is not interfaced with T24, whereby transactions committed on T24 are required to be manually inputted again on the related SYGS web application and vice versa. However, BBS Management decided to keep the current process as it stands until the implementation of the new core banking system.
On the other hand, the connection between BBS and CBoS was directly linked to BBS internal

الإلكترونية وأيضاً بين موظّفي المصرف (الموظّف المسؤول عن الأرشفة وأمين المستودع).

٣- منح بعض العملاء أكثر من دفتر شيكات على نفس الحساب وبنفس التاريخ.

٤- عدم تزويد مديرية مفوضية الحكومة لدى المصارف بالوثائق المطلوبة بشكل فوري، إضافةً لتقديم معلومات مضلّلة.

السيّد كرم بشارة - المدير العام

تعود إلى العام ٢٠١٦ وقد تمّ تصحيحها بخصوص الأرشفة الإلكترونية، أرسلنا ردّنا بتاريخ ٢٠٢٠/٠٣/١٩ . (مرجعنا ٣٧ / GM / 2020).

شبكة الفروع

خلال الربع الأوّل من عام ٢٠٢٠، أصدرنا تقرير التدقيق لفرع المزّة، وكانت البيئة الرقابية بالإجمال مقبولة. أيضا بدأنا بالتدقيق على فرع العبّاسيين ومكتب باب شرقي.

العمليات

خلال الربع الأوّل من العام ٢٠٢٠، إنتهينا من اعداد تقرير التدقيق لقسم وحدة العمليّات المركزية وكانت البيئة الرقابية الشاملة مقبولة (تمّ إصدار التقرير في الأوّل من نيسان ٢٠٢٠). بالإضافة إلى ذلك، تمّ الإنتهاء من التدقيق على وحدة إدارة المخاطر والتقرير قيد الانجاز.

نظام المعلومات

النظام المصرفي المركزي لبنك بيبلوس سورية: في آذار ٢٠٢٠ وقّعت إدارة بنك بيبلوس العقد مع شركة LYST Technologies Company لتوريد النظام المصرفي المركزي الجديد للمصرف ومن المتوقع إستلام النظام الجديد وبدء العمل به في اذار ٢٠٢٢.

نظام التسويات الفوريّة الإجمالي من مصرف سورية المركزي (SYGS): نظام SYGS غير متداخل مع النظام المصرفي T24، بحيث يستوجب القيام يدوياً بإعادة إدخال العمليات التي تتمّ على النظام المصرفي على نظام SYGS والعكس صحيح. وعليه، قرّرت إدارة بنك بيبلوس الإبقاء على آلية العمل المتبعة حاليا لغاية الإنتقال الى النظام المصرفي المركزي الجديد.

من ناحية أخرى، الإتصال بين بنك بيبلوس سورية ومصرف سورية المركزي كان موصولاً مباشرةً مع الشبكة

network instead of passing through an isolated network, which might expose the Bank to system attacks. It is worth mentioning that secure network zones were created in BBS Head Office and DR, and the CBoS router in BBS DR was installed in the above mentioned secure network zone. However, due to connection problems, the DR service is still not functioning yet. In addition, the CBoS router in Head Office is expected to be moved from the internal network to the secure zone by Q2 2020.

Customer Signature Capture Application (SigCap): The SigCap application used in BBS is not interfaced with T24 to automatically get and load customers' details from T24 into SigCap and to automatically open related customers' signatures when performing a transaction on T24 at BBS branches.

Moreover, the current SigCap application release does not allow enforcing and strengthening security and password controls. In addition, BBS SigCap application is an old release and is running on an outdated Windows operating system and SQL server database, and the database audit trail was not enabled. As per BBS, a new SIGCAP system will be implemented with the new core banking system.

It is worth mentioning that the SigCap application was configured in Tartous DR site. It was successfully drilled in February 2020 and its DR plan was finalized in March 2020.

Mr. Karam Bechara (General Manager)
SYGS

BBS Board of Directors decided to change the core Banking System. The interface between SYGS and T24 will cost us around USD 33,000. BBS management decided to keep it pending until the implementation of the new Core Banking System, where the interface between SyGS and the new core banking system is already within the scope of the migration project plan from the current core banking system T24 to the new one. This migration is scheduled to finish by the end of 2021, where the integration between SyGS and Synergies will be STP (Straight through Processing) eliminating the need to enter the same data twice

الداخليّة لبنك بيبلوس سورية عوضاً عن المرور من خلال شبكة معزولة، مما قد يعرّض البنك إلى هجمات على نظامه المصرفي. ومن الجدير ذكره، فقد تمّ إنشاء مناطق آمنة ضمن شبكة الإتصال الداخلية لإدارة المصرف وموقع إدارة الكوارث للمصرف. بالإضافة إلى ذلك، تمّ تركيب جهاز التوجيه الإلكتروني الخاص بمصرف سورية المركزي في موقع إدارة الكوارث للمصرف ضمن شبكة الإتصال الآمنة، ولكن وبسبب مشاكل تقنية فإنّ خدمات موقع إدارة الكوارث لا تعمل حتّى الآن. بالاضافة الى ذلك سوف يتمّ نقل جهاز التوجيه الإلكتروني الخاص بمصرف سورية المركزي في موقع الإدارة العامّة إلى شبكة الإتصال الآمنة وذلك خلال الربع الثاني من العام ٢٠٢٠.

نظام تسجيل تواقيع الزبائن (SigCap): لا يوجد ربط بين نظام التواقيع SigCap المستخدم في بنك بيبلوس سورية والنظام المصرفي T24 ليتمّ بشكل تلقائي وآلي تحميل تفاصيل الزبائن من النظام المصرفي إلى نظام التواقيع SigCap. كما لا يتمّ إظهار توقيع الزبون بشكل آلي عند إجراء عملية مصرفية على حسابه في فروع المصرف.

علاوةً على ذلك، فإنّ نسخة نظام SigCap المستخدمة حالياً لا تتيح تقوية نظام الأمان والتحكّم بكلمات السرّ. أضف إلى ذلك، فإنّ نسخة نظام SigCap قديمة، ويتمّ تشغيلها على نسخة قديمة من نظام التشغيل Windows وقاعدة البيانات SQL server database.كما لم يتمّ تفعيل آلية التدقيق الخاصّة بتعقّب أثر أيّة تعديلات تتمّ على مستوى قاعدة البيانات. ووفق إدارة المصرف سيتمّ تنزيل نسخة جديدة من نظام التواقيع SigCap مع النظام المصرفي المركزي الجديد.

من الجدير ذكره أنّه قد تمّ تحضير نظام SigCap ليتلاءم مع موقع غرفة الطوارئ في طرطوس. كما تمّ اجراء دورة تدريبية بنجاح في شباط ٢٠٢٠ وتمّ الإنتهاء من إعداد خطّة الطوارئ في آذار ٢٠٢٠.

السيّد كرم بشارة - المدير العام
نظام التسويات الفوريّة الإجمالي من مصرف سوريّة المركزي (SYGS)

قرر مجلس الإدارة تغير النظام المصرفي المركزي. إنّ التقابل (interface) بين النظام المصرفي T24 ونظام SYGS سوف يكلّف حوالي ٣٣ ألف دولار أمريكي. قرّرت إدارة بنك بيبلوس الإبقاء على آلية العمل معلّقة حتّى يتمّ إعتماد النظام المصرفي المركزي الجديد، وسيكون الربط (interface) بين النظام المصرفي الجديد ونظام SYGS بالفعل ضمن خطّة مشروع الإنتقال من النظام المصرفي الحالي T24 إلى النظام الجديد. ومن المخطّط له أن ينتهي هذا الانتقال بحلول نهاية عام ٢٠٢١، حيث يكون الدمج بين SyGS وSynergies هو STP (مباشرة من خلال المعالجة) مما يلغي الحاجة إلى إدخال نفس البيانات مرتين على كلا النظامين.

on both systems.
In addition, BBS purchased a Fiber line in Tartous (FTTP) as a Backup in October 2019, and the backup router was installed in Tartous DR in Q4 2019 and we requested additional credentials from CBoS to be used with this connectivity.

بالإضافة إلى ذلك، اشترى بنك بيبلوس خط الألياف الضوئي في طرطوس (FTTP) كخط احتياطي في تشرين الأوّل ٢٠١٩، وتمّ تثبيت جهاز التوجيه الإحتياطي في Tartous DR في الربع الرابع من عام ٢٠١٩ وطلبنا بيانات إعتمادية إضافية من مصرف سورية المركزي لاستخدامها مع هذا الإتصال.

SigCap

The new core banking system will solve the interface issue between T24 and SigCap, or any alternative signature solution. Noting that implementing an interface between T24 and SigCap will cost us around USD 45,420.

نظام تسجيل تواقيع الزبائن (SigCap)

سيتمّ من خلال النظام المصرفي الجديد حل مشكلة الربط بين النظام المصرفي ونظام التواقيع، أو أي نظام تواقيع آخر بديل. مع ملاحظة أنّ تنفيذ هذا الربط حالياً بين النظام المصرفي ونظام التواقيع سيكلّف المصرف حوالي ٤٥،٤٢٠ دولار.

COMMERCIAL PORTFOLIO

During the period December 31, 2019 until March 31, 2020, commercial classified direct O/S increased by SYP 5,741M (29%), from SYP 19,628M to SYP 25,370M; and from 40% to 48% of the total commercial portfolio direct O/S, divided between Non-Performing (42%) and Watch list loans (6%). The main reason for the increase was due to the devaluation of SYP against foreign currencies (from SYP 436 to SYP 704/USD). Had SYP maintained its level of December 2019, then the increase would have been SYP 1,693M (9%).

Although a remedial management was noted through the declassification or closure of four accounts with total direct O/S of SYP 33.5M, and the recovery of SYP 524M in 17 other classified accounts; yet, two accounts were newly classified with total direct O/S of SYP 1,642M, in addition to the increase in O/S of the remaining classified accounts.

محفظة التسليفات

خلال الفترة الممتدّة من ٣١ كانون الأوّل ٢٠١٩ ولغاية ٣١ آذار ٢٠٢٠، ازدادت التسهيلات التجارية المباشرة المستعملة والمصنّفة بمقدار ٥،٧٤١ مليون ليرة سورية (٢٩%)، من ١٩،٦٢٨ إلى ٢٥،٣٧٠ مليون ليرة سورية، ومن ٤٠% الى ٤٨% من إجمالي محفظة التسهيلات التجاريّة المستخدمة، وتوزّعت ما بين قروض غير منتجة (٤٢%) وقروض تتطلّب إهتماماً خاصّاً (٦%). السبب الرئيسي في الزيادة هو نتيجة انخفاض سعر صرف الليرة السورية مقابل العملات الاجنبية (من ٤٣٦ ليرة سورية الى ٧٠٤ ليرة سورية مقابل الدولار الامريكي). فيما لو حافظ سعر صرف الليرة السورية على مستواه في ديسمبر ٢٠١٩، لكانت الزيادة ١،٦٩٣ مليون ليرة سورية (٩%).

على الرغم من ملاحظة إجراءات إداريّة لمعالجة الوضع من خلال إلغاء تصنيف ٤ قروض بلغ مجموعهما ٣٣٠٥ مليون ليرة سورية، وتحصيل ٥٢٤ مليون ليرة سورية من ١٧ حساب مصنّف آخر. ومع ذلك تمّ تصنيف حسابين جديدين بلغ مجموع تسهيلاتهما التجاريّة المباشرة ١،٦٤٢مليون ليرة سورية، بالإضافة للزيادة بالتسهيلات التجارية المصنفة المتبقية.

Mr. Karam Bechara (General Manager)

During the first quarter of 2020, the number of downgraded customers were four, of which one was rectified while additional three customers were upgraded too.
We are working on solving the issue.

السيّد كرم بشارة - المدير العام

خلال الربع الأوّل من ٢٠٢٠، كان عدد العملاء الذين تمّ تخفيض تصنيفهم أربعة، وقد تمّ تصويب واحد منهم، فيما تمّ رفع تصنيف ثلاثة عملاء إضافيين أيضاً.

نحن نعمل على حلّ المشكلة.

APPENDICES

Appendix I - Index of Outstanding Issues
Appendix II - Index of Cleared / Downgraded Issues
Appendix III - Index of Branch Issues

الملحقات

ملحق ١ - المخالفات العالقة
ملحق ٢ - المخالفات التي تمّ حلّها / خفّضت مخاطرها
ملحق ٣ - المخالفات العالقة في الفروع

APPENDIX I - INDEX OF OUTSTANDING ISSUES

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
1	ITA	6-12	H	12/31/2021	***Interface between SyGS and T24 (BBS - SYGS-2019):*** Currently, T24 and SyGS are not interfaced, whereby transactions committed on T24 are required to be manually inputted again on the related SyGS web application and vice versa. Such duplication of work is inefficient and may lead to accidental and/or intentional errors. On the other hand, the "Ordering Customer" and "Beneficiary Customer" names are inputted in Arabic language on the SyGS system; however, on T24, these fields are inputted in English. Consequently, this will render the reconciliation between the two systems more difficult and increase the likelihood of having returned transactions due to wrong beneficiary name. In addition, the SyGS inward and outward transfers are being executed on T24 using the same versions used for non-SyGS transfers. Thus, Swift messages are being created for SyGS outward transfers and are being manually halted by users. Based on the CBoS requirement, the interface between SyGS and T24 was requested from Group Technology Services (GTS) back in August 2018; but till date the project was not finalized. According to GTS, the solution architecture, infrastructure design and requirements gathering were completed.	***Karam Bechara (General Manager):*** The interface between SyGS and BBS new core banking system is already within the scope of the migration project plan from the current core banking system T24 to the new one Synergies. This migration is scheduled to finish by the end of 2021, where the integration between SyGS and Synergies will be STP (Straight through Processing) eliminating the need to enter the same data twice on both systems. In addition, Synergies will support the integration with the systems that required English names like SWIFT and the systems that required Arabic names like SyGS.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					However, due to GTS shortage of internal resources, GTS were in the process of outsourcing the development phase. Currently, the project is suspended after the decision taken by BBS management and International Committee to change the BBS Core Banking System.		
2	OA	0-6	H	3/31/2020	***Irregularities at the System Level (075-BBS-OA-015-19):*** Weaknesses at core banking system level (T24) were noted where 2 outgoing transfers were granted the same OPE references in 2 instances, the posting date was subject to modification (led in 4 cases to overdrawing the suspense account) and no authorization layers were set for the processing of outgoing transfers via clearing and RTGS. ***Audit Comment***: Tests performed over this matter showed recurrence of this observation.	***Karam Bechara (General Manager):*** 1-A new CRF has been open dated 02 Mars 2020 and holds the reference Interaction SD001097064 followed by an E-mail dated 12 Mars 2020.-2-Issue solve, please reassess the issue.	Regular
3	ITA	>24	M		***Conventional user name & password is being used by all users to login to BBS (170-BBS-IT-022-14):*** Since creation of Globus/T24 BBS environment, one shared UNIX account is being used by all BBS users, before they type their T24 user name and password. Consequently, with the use of this UNIX shared credentials, password aging policy was not imposed at Unix level. Moreover, access using the file transfer protocol (FTP) is not	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** ***Jean-Michel Kaoukabani (Head of Information Security):*** According to Mr. Machhour Salem the rollout of the solution was delayed due to overload on Syria IT team. They already began deploying single login. Should be completed with the replacement of Windows XP PCs by end Q2 2020.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					properly restricted. We recommend either creating one UNIX account for each user or find a turnaround solution (such as ex: bypassing the UNIX login) that should be tested and implemented. A delivery date for the selected solution is requested. Accordingly, the shared user password should be changed and the FTP should be properly restricted to authorized users.		
4	OA	>24	M	6/30/2020	***BBS Archives (030-MEM-BBS-OA-002-14):*** Discrepancies were noted regarding physical & environmental security controls over BBS archives as follows: Abou Remmaneh (Basement): No cameras inside the archive room. Abou Remmaneh (Mezzanine): The mezzanine lacks the physical and environmental security controls (no fire proof cabinets or partitions, no fire alarms or extinguishers, absence of water detector, no cameras). No access cards are available for Abou Remmaneh and Hosh Blass archives' areas. No centralized database and documented procedure. An electronic archiving solution along with a clear process should be implemented. ***Audit Comment***: Camera installed in Abou Remmaneh basement is still not working.	***Karam Bechara (General Manager):*** 1)Abou Remamneh Basement: We installed one camera in the archive room. Please to reasess. 2) Abou Remmaneh Mezzanine: Issue no longer applicable. As stated in our previous reply, the mezzanine is empty/not used. 3) An archive solution (ArcMate) is already implemented and we hired 3 new employees to handle the e-archiving. As for the procedure, it is under circulation. 4) Concerning the FM 200 in Hosh Blass, works almost finished, we still need 2 weeks to go Live. 5) Concerning the security system in the Head Office (CCTV, Intrusion and Fire Alarm), Tertracom finished 90% of the works; delays experienced due to the current situation. We expect to finish this project during Q2 2020.	Regular
5	CRA	12-24	M		***Documentation (BBS - 2018):*** 1. Guarantees not timely obtained in the case of Altoun Lil Nakel; rectified in the cases of	***Karam Bechara (General Manager):*** 1-MTN ; Sharikat Tokatli; Technopack ; Rachid Rahal; Hadaya Motors: rectified. -	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					Hadaya Motors; MTN ; Sharikat Tokatli; Technopack ; Rachid Rahal; and highlighted to CCC in the case of Madar Coil Coating.2. In 4 cases, offer letters were missing the signature of the guarantors (Kuzbari; Maatouk; Modern Glass; and rectified in the case of M-Daoud). In an additional case (Altoun Lil Nakel), the O/L letter included a discrepancy in one of the required guarantees.3. In 4 cases, PG/CG reminders were outdated (Kuzbari, Maatouk; Syral Aluminum; Abou Khater wa Akhras) 4. In 2 cases, CCC committee requirements were not obtained: distribution agreement and market study (Maatouk Drugstores); registration of the borrowing right as recommended by Legal (Daoud Trading).5. In 5 cases, appraisals on plots subject to mortgage were outdated (Maatouk; M-Naser; Sharekat Mohamed; Nasr Ali; Roubana Lil Alban and rectified in another case).6. In addition, outdated documentation (P/G reminders and appraisals) raised in previous audit was not yet rectified in 3 cases (Alsharika Alhaditha; Raslan & Tayyara; Sharikat Knama). ***Audit Comment***: In our last audit, we found that the issue is still applicable.	Altoun Lil Nakel: we were able successfully to obtain a mortgage-Madar Coil Coating: CCC is already notified about those missing.2. Kuzbari: The guarantors are located abroad and their signature cannot be obtained for the time being. -Maatouk: Those guarantors have less involvement in Maatouk Drugstore Company. Upon next file renewal we will obtain their signature over the new facility letter. -Modern Co. for Glass: we obtained the signature of the major partners on the facility letter pending Attieh family to sign over it too, which is expected to be finalzied before end of July 2019.-Altoun: We were not able to mortgage the shop since there was a mortgage notice placed on the trucks. Therefore, we requested a waiver of this security in the new annual CA sent to CCC at BBL on 17.1.2019.-Michel Daoud: Rectified.3. Kuzbari Group: Given that the guarantors live abroad in different locations, there is a certain extent of difficulty to have them all signing over any document.-Abou Khater Wa Akhras: PG reminder of one of the missing reminders of Aref Akhras was signed on 4.3.2019.We will try to obtain PG reminders for the rest.4. Maatouk: Client didn't accept to provide us with such critical document. We	

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
						will work on best effort to obtain it. -Daoud Trading: We are following up with client to properly reflect the borrowing rights on the commercial register. 5. Maatouk Drugstores: We will try to obtain an updated appraisal report during 2019. -Syral Aluminum: Rectified. -Nasr Ali; Roubana Lilalban; Mohamad Naser; Sharekat Mohamaed: NPL & Legal clients. Usually the court does not take our appraisal report into consideration, where a new appraisal report is conducted by the court expert and used in the final decision. In all cases, updated appraisal reports will be conducted very soon. 6. Alsharika Alhaditha; Reslan & Tayyara: noted.- Sharikat Knama: client is classified long time ago as bad debt class 6. Bearing in mind that an exit relationship scenario is under negotiation with client. As previously mentioned, plot is located in Deir Zor which is not accessible to obtain updated appraisal report. Note that all pendings of Maatouk have been rectified.	
6	ITA	12-24	M		***Windows, SQL Server and Audit Trail Weaknesses (149-BBS-IT-024-18):*** BBS SigCap application version (5.8.10/2.28) is running on an outdated Windows operating system (2003), and SQL server (2005 Standard Edition), which are not supported by	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** ***Machhour Salem - Head of Application Support & Operations:*** The current platform is the only supported	System Implementation

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					Microsoft; therefore automatic fixes, updates or online technical assistance and security updates are no longer provided in order to protect the server from harmful viruses and other malicious software. In addition, the audit trail on the SQL server database is currently not enabled to be able to trace any amendment made on the database level. Such exception would might lead to security weaknesses and will expose the environment to harmful viruses and malicious software. We recommend the GTS Application, Systems and Database Units to coordinate and study the possibility of upgrading the Windows and SQL servers to an updated version supported by Microsoft and compatible with the SigCap application. In addition, GTS Application unit should ensure that the running SigCap application is still under support, else application upgrade should be considered. On the other hand, the audit trail on the SQL database level should be consequently enabled to log administrators' activities.	by the supplier. We should consider to upgrade the application in order to use the recommended OS and DB versions and then we can enable the auditing. ***Mr. Joseph Harran - Head of Systems & IT Support:*** We are ready to assist as soon as application owner is ready to proceed.	
7	ITA	12-24	M		***SigCap Application "Expiry date" (149-BBS-IT-024-18):*** We were informed during our fieldwork that the "expiry date" of any signature can't be inputted on the same day. As a turn around solution, SigCap/Capture users are requesting from BBS IT support to change the workstation	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** This is a turn around solution that we are applying on the current release. It will be solved when we upgrade to the latest release.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					date/time to a date/time -1 in order to be able to input the correct date. However, this will impact the application logs. We recommend GTS Application Unit in coordination with the provider to assess the possibility of solving this weakness. If this is not possible, the application Unit should consider upgrading the SigCap application to a newest version that can solve the application weakness.		
8	ITA	12-24	M		***SigCap Password Policy weaknesses (149-BBS-IT-024-18):*** 1- The SigCap application security policy doesn't allow to set "special character" and "alpha numeric" requirements. In addition, we noticed that SigCap application security policy doesn't force users to change their password on timely basis. Hence, SigCap users are able to input weak passwords that can be easily guessed without being changed. Furthermore, "unsuccessful login attempts" was not enabled to minimize the risk of unsuccessful password retries. On the other hand we also noticed that SigCap and Active Directory usernames are not standardized. We noticed that 18 users have difference in their user names. We recommend Information Security Department (ISD) to coordinate with SigCap business owner and assess the possibility of integrating BBS SigCap and Windows Active Directory to allow SigCap Retrieve/Capture	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** According to Mr. Machhour Salem this issue will be scheduled within the Sigcap projects (either before or after upgrade).	System Enhancement

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					users to be authenticated using the Windows credentials. Hence, Windows password policies will be applied to minimize the risk of password retries.		
9	ITA	12-24	M	3/31/2021	***Interface Between SigCap and T24 (149-BBS-IT-024-18):*** We noticed that an interface between SigCap and T24 is not in place to automatically get and load the CIF details from T24 into SigCap database. Hence, input error might take place (ex: As mentioned in observation number 7). Currently, the input of customers' information is manually performed on SigCap upon creating a new CIF. In addition, the interface will also help in automating the process of flagging signatures on SigCap as inactive/active following the flagging of the CIF on T24 as Dormant/Normal, when activated. In addition, an interface between SigCap and T24 is not in place to automatically open the CIF/account signature when performing any banking operations on T24 in branches. This will accelerate the process of verifying related signatures. We recommend BBS Branch Coordination Unit and SigCap Unit to coordinate with BBL GTS in order to assess the possibility of implementing the interface between BBS T24 and SigCap that helps in automating the CIF input process, minimizing the input errors and accelerating the	***Karam Bechara (General Manager):*** Kindly be informed that new specimens of signatures management system will be built in the new core banking. Deema Alhassan (Head of Branch Coordination): A new SIGCAP system will be implemented with the new core banking system. Please downgrade this point to low.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					signatures' verification at branches.		
10	ITA	12-24	M	6/30/2020	***Dormant CIFs on T24 and SigCap (149-BBS-IT-024-18):*** During our fieldwork, we noticed that the process of flagging dormant CIFs on T24 is still not in place. Consequently, flagging the dormant account on SigCap is not being performed and the application is not restricting the users at branches from viewing the signature of related dormant CIF, as stipulated in the PSY26 procedure. It is worth mentioning that the process of flagging dormant CIFs/accounts was requested by CBOS regulation (1418/M.N/B4-2016).We recommend BBS to coordinate with BBL GTS and schedule a delivery date in order to automatically flag dormant CIFs on T24 and consequently on SigCap.	***Karam Bechara (General Manager):*** CRF under testing in BBL Expected to go live during Q2 2020.	System Implementation
11	OA	12-24	M		***Policies and procedures (071-BBS-OA-012-18):*** No validated procedure governing the Legal Support processes and identifying the roles and responsibilities of all involved parties.	***Karam Bechara (General Manager):*** تم الانتهاء من وضع النقاط كافة الخاصة بعمل الدائرة ونحن بانتظار تحديد موعد من قبل وحدة السياسات والاجراءات في لبنان لتزويدهم بآلية عمل الدائرة حيث كان من المفترض أن نجتمع بهم في منتصف شهر حزيران وقد تم تأجيل الاجتماع بناء على طلبهم لوقت لاحق سيحدد لاحقاً ومازلنا بانتظار تحديد الموعد بالرغم من مطالبتنا بهذا الخصوص عن طريق قسم الموارد البشرية.	Procedure
12	OA	12-24	M		***Legal Committee (071-BBS-OA-012-18):*** BBS does not have currently a dedicated Legal Committee to supervise legal actions handled	***Karam Bechara (General Manager):*** No progress till date as we didn't find a match within the group. We try to find a	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					by LSU (e.g. lawsuits' progress status, selection of external lawyers, review of legal fees and advances trend analysis etc.).	solution.	
13	OA	12-24	M		***Legal Processes (071-BBS-OA-012-18):*** We noted a lack of communication between LSU and several stakeholders that hindered the following: the coordination with Loan Recovery Unit (LRU) to agree on the actions to be taken towards the defaulting retail files, the escalation to LRU Committee for decisions to be taken regarding pending defaulting retail files and the relations with external lawyers. Hence, we noted several cases of ineffective legal actions as follows: - 2 cases of defaulted retail loans were not coordinated by Head of Legal/internal lawyer with LRU or escalated to LRU Committee for complete information and final decision (e.g. 11 cases of defaulted retail loans where LRU and LSU had contradictory opinions about the actions to be taken, and related files were not submitted for final decision to LRU Committee, 1 defaulted retail file was subject to 2 different legal opinions provided by two internal lawyers within one year, misleading and delaying LRU in their process of recovery). Also, we noted a disorganization within the LSU that led to an improper follow-up and weak control on some legal cases, resulting in: - Files dropped by the court in 8 cases. - Uncollected due amounts	***Karam Bechara (General Manager):*** يتم الطلب بشكل شبه يومي استرداد كفالات الحجز الاحتياطي المسلمة لمكتب الدكتور متري مع وعود بإعادتها أصولا ومازلنا بانتظار ذلك. تم وضع بعض التعديلات على مجموعة من وثائق المصرف بالتعاون مع مكتب الدكتور متري وتم ارسالها إلى القسم القانوني في بنك بيبلوس-لبنان لأخذ الموافقة النهائية عليها ومازلنا بانتظار موافقتهم بالرغم من مطالبتهم المتكررة بتزويدنا بها. كما ذكرنا يتم التنسيق بشكل يومي مع قسم التحصيل بالنسبة للملفات كافة وضع التصور القانوني الأمثل. فيما يتعلق بملفات السيارات المباعة في المزاد والتي لا يوجد لدينا وثائق أو ايصالات نتيجة تلف وحرق الملفات جميعها نعلمكم ان هناك ثلاثة ملفات متلفة ومحروقة ولا يوجد أي مستند أو وثيقة لدينا أو لدى المحاكم وقد تم وضع الإدارة بصورتها لاتخاذ القرار المناسب بشأنه، تم توجيهنا من الإدارة باتخاذ الإجراءات القانونية الممكنة وبالفعل قمنا بتعميم منع السفر على العملاء الثلاثة وتم تزويدكم بهذه التعاميم وهم فراس حلاق وعبد الله هندواي وديوب ديوب.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					for cars sold via auctions related to auto loans. - Pending files at LSU since more than 6 years, and they were not submitted to the dedicated committee in charge for final decision. - Absence of lawsuits against 28 retail files transferred to LSU since 2017/2018. - Lateness in the recovery of total/partial due loan amounts in 5 cases. - Unidentified status of lawsuits filed in Aleppo Court; hence, 11 of them were destroyed and LSU was not aware to ensure their timely restitution etc. In addition, we noted that the LSU did not properly maintain the lawsuits' register which could have helped in ensuring an effective follow-up, reducing legal costs by proposing turnaround solutions (when possible) and recovering all due unpaid amounts with an acceptable period. Additionally, the LSU did not have a list of external lawyers currently dealing with the Bank nor a list of lawsuits raised against BBS or keeps a copy of official car detention with the related list, moreover the LSU did not validate all BBS forms.		
14	OA	12-24	M		***Update of Internal Watch List and Fircosoft (139-BBS-OA-019-17):*** The internal watch list used by Compliance to screen the new CIFs and the local transfers against the local sanctions' lists did not include all the names reported by some Syrian institutions through the CMLC. Also,	***Karam Bechara (General Manager):*** Now we screen all the newly opened CIFs against the special blocked system related to CID.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					Compliance Unit is using 2 watch lists, one in Arabic and another one in English; however, these lists were not subject to any reconciliation noting that a difference in the number of names between the 2 lists was noted. In addition, 6 out of 12 backlisted names communicated by the CMLC were uploaded on Fircosoft with delay reaching 303 days in one case. ***Audit Comment:*** Issue will be reassessed during our next audit.		
15	OA	12-24	M		***AML Risk Classification of Clients (139-BBS-OA-019-17):*** 30 CIFs with sector "Non Profit Institutions" were not flagged with EDD on T24 as required by procedure and 9 clients with public functions were not flagged as "PEP" (Politically Exposed Person).	***Karam Bechara (General Manager):*** We are working on amending the procedure.	System Implementation
16	ITA	6-12	M		***Filtering System is not in Place (BBS - SYGS-2019):*** A filtering system is not in place to automatically screen the ordering and beneficiary customers and related banks in addition to the related details of all the inward and outward transfers performed through SyGS. Currently, BBS Compliance Department is manually checking the related fields using a local watch list maintained on an excel file and updated upon receiving a new customers' list from CBoS; however, no filtering is being	***Karam Bechara (General Manager):*** We will suggest this recommendation to the management, and since we check all the transfers before execution unless it is intended not being sent to the compliance so we recommend to downgrade the issue to low.	System Implementation

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					performed on SyGS transfers versus international lists. Although the access to the watch list is limited to authorized users; nevertheless, amendments on such file can't be easily tracked and filtering activities can't be easily traced, which might lead to processing transactions without being properly checked. We recommend BBS to study the possibility of implementing a filtering system to automatically screen transactions performed through SyGS against internal and international lists, and identify transactions related to blacklisted or non-eligible parties.		
17	ITA	6-12	M		***Backup Connection with CBoS (BBS - SYGS-2019):*** A backup Router for the main Router that connects BBS with CBoS is not in place in BBS Headoffice or BBS DR site. Connecting a backup Router will ensure the continuity of BBS and CBoS connection and consequently the SyGS services, in case the main Router stop functioning. It is worth mentioning that the current connection has two backup connections, but through the same Router. We recommend BBS to coordinate with GTS to assess the possibility of implementing a backup router connected from the DR site that can automatically switch between the main and backup Routers and connections.	***Karam Bechara (General Manager):*** The backup router was installed in Tartous DR in Q4 2019 and we requested additional credentials from CBoS to be used with this connectivity.	System Implementation

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					Audit Comment: Backup router should be tested to ensure that the backup connection with CBOS is available.		
18	ITA	6-12	M	6/30/2020	***BBS Network Weakness (BBS - SYGS-2019):*** After a discussion with the BBL GTS - Head of Telecom Unit, we noticed that the current connection between BBS and CBoS is directly connected to BBS internal network. It is worth mentioning that the connection is encrypted, however, a secure zone or a demilitarized zone (DMZ) is not in place to separate BBS internal network from other untrusted networks. We recommend BBL GTS Telecom Unit to assess the current BBS network design and study the possibility of creating a secure or a DMZ zone separating the SyGS web application from the internal network environment to ensure the security of BBS network.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** We are waiting schedule from SYRIA IT to move CBOS router from internal network to DMZ as per attached since DMZ was created long time ago.	System Implementation
19	OA	6-12	M		***BCU Procedure (033-BBS-OA-007-19):*** BCU tasks are not governed by any procedure defining the processes and the roles & responsibilities of this unit.	***Karam Bechara (General Manager):*** Noted.	Procedure
20	OA	6-12	M		***Other BCU Monitoring Tasks (033-BBS-OA-007-19):*** The results of the follow-ups conducted by BCU over the branch audit observations were not reported to BBS Management and were not backed-up by sufficient supporting documents; also, no visits were being	***Karam Bechara (General Manager):*** 1- Noted. 2- Noted although we are conducting visits to some branches during the year 3- A request was sent to BBL to create the related reports, but request was cancelled due to the decision to change Syria Core Banking System 4- The reports	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					conducted by BCU to the related branches. Moreover no report was generated by BCU showing the authorizations granted by the latter on specific T24 transactions such as the early liquidation of LDs, the settlement of cash differences. Furthermore, in two cases, no acknowledgement of receipt was kept at BCU level to ensure that the report was submitted to the CBoS in timely manner.	are sent to CBOS via world client link automatically and not via regular mail.	
21	OA	6-12	M		***Keys & Combinations' Monitoring (033-BBS-OA-007-19):*** Although required by the "Keys & Combination" procedure, the BCU control on the distribution of keys and combinations was not being conducted on yearly basis for the majority of BBS branches.	***Karam Bechara (General Manager):*** This duty requires visiting the branch. The management is aware of this issue.	Procedure
22	OA	6-12	M		***CIFs' Amendments (033-BBS-OA-007-19):*** The amendments over customers' names can be authorized by Branches instead of being authorized only by Branch Coordination. Also, the CIF amendments report was generated by Compliance Unit and sent to BCU for review. In addition, CIF amendments report did not include amendments others than the one related to customers' names and it also contained some errors (e.g. names amendment, inputter, etc.). Moreover, the Compliance access on the amendment of some CIF fields on T24 ("Title.Code", the companion/father/mother middle names) was	***Karam Bechara (General Manager):*** CRF was cancelled by GTS as per attached email. Will be solved in the new banking system.	System Enhancement

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					not restricted although required by internal procedures.		
23	OA	6-12	M		***CBoS FX Reporting System (033-BBS-OA-007-19):*** Weaknesses at CBoS system level were noted such as the absence of interface with T24 leading to the manual input of transactions, the lack of system authorization, the absence of audit trail on the eventual amendments performed by BCU over the transaction date and the users' profiles. In addition, we noted that, during the absence of the System Administrator, his user name and password were being used by his substitute. On the other hand, the local transfers in foreign currency as well as the FX transactions related to account closure were not reported to the CBoS.	***Karam Bechara (General Manager):*** The interface between T24 and CBOS FX reporting system is a strategic decision. No need to do the interface since this CBOS system is for reporting only. Please remove this issue since there is no risk. Noting that the input was shifted to treasury dept.	System Enhancement
24	OA	6-12	M		***CIFs Cleansing Process (033-BBS-OA-007-19):*** 84% of the existing CIFs needs to be cleansed in order to comply with the Combating Money Laundering Commission (CMLC) requirements. In addition, the cleansing date of 90% of the CIFs related to high risk clients' was greater than one year. On the other hand, the statistics of CIFs cleansed were being manually prepared by BCU based on figures provided by branches, due to errors in T24 data (i.e. CIF status and cleansing date). Hence, when reconciling the CIFs marked as cleansed in T24	***Karam Bechara (General Manager):*** All issues solved. Regarding the percentage of the existing CIFs needs cleansing: as per BBS management we proceed with an action plan which already implemented and we are still working on it. Please re assess this point.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					during Q3 2018 with the BCU records, we noted several irregularities such as errors in the number of cleansed CIFs communicated by branches to BCU, missing or erroneous statuses, etc. ***Audit Comment***: The statistics of CIFs cleansed were being extracted from T24 by BCU. Also, the statistics' calculation and structure were amended; hence, related parts will be considered cleared. Tests performed showed that remaining part of the observation is still outstanding.		
25	OA	6-12	M		***Monitoring of Branches' Derogations (033-BBS-OA-007-19):*** BCU controls reports did not include the value dates' amendments related to transactions executed via open version on T24 and the commission waived transactions. Also, 15 out of 126 tested reports were not signed by BCU as proof of control.	***Karam Bechara (General Manager):*** A request was sent to BBL to create the related reports, but request was cancelled due to the decision to change Syria Core Banking System. All reports now are signed by BCU as a proof of control. Please downgrade this issue to low.	Regular
26	OA	0-6	M	3/31/2020	***Filing and Safeguarding of Documents (075-BBS-OA-015-19):*** Original documents (e.g. Transfers letters received via clearing and signed by other banks' representatives) were kept inside non-fire proof wooden cabinets. In addition, one box that includes original documents was missing.	***Karam Bechara (General Manager):*** We noted that the original documents (e.g. Transfers letters received via clearing and signed by other banks representatives) were kept inside non-fire proof wooden cabinets. All inward and outward pending transactions received by swift, clearing, voucher from the CBOS and SYGS which need: authorization, confirmation of credit, investigation, charges our, cancelation,	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
						returning inward payment, check for collection, etc." were kept in fire proof cabinets while all transactions which the status is in history file on T24 are kept in a wooden cabinets and every 6 months will be sent to the archiving location in Hosh Blass., noting that starting from now on we will apply that. One box that includes original documents (e.g. Returned incoming transfers related to 2016 and preparatory & liquidation clearing session) was missing noting that no evidence that the missing box was received by the Archiving staff. It is worth mentioning that this incident was not reported to the Risk unit as required. Each box - which supposed to be sent to the archiving location in Hosh Blass- bears a sequence number and its content, As shown in the copy list which delivered to you, we sent more than 16 boxes including the missing said box to the archiving location in the same day and all boxes were found upon your request except the missing one. We will coordinate with the administration department in order to find this missing box and we will check as well with the e-archiving team.	
27	ITA	12-24	L		***SigCap Contingency Plan is not in Place (149-BBS-IT-024-18):*** We noticed during our fieldwork that a backup	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):***	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					or a Disaster Recovery (DR) sever is not in place to be used in case of disaster or system disruption (Application, Database, Operating System). Currently, backup is being performed on tapes. Although a manual signature verification can be done in case of SigCap application disruption; however, a contingency plan, defining the steps to be performed to resume SigCap application services and recovery after disruption, is not in place. We recommend Systems' Unit in coordination with BBS to assess the possibility of implementing a disaster recovery plan to be used in case of main server disruption. Consequently, proper Disaster Recovery (DR) plan should be prepared and tested.	Hyper-V Replication to DR has been enabled on SRSIG server. Syria SigCap DR drill is planned on 2020.	
28	OA	12-24	L		***Job Descriptions (071-BBS-OA-012-18):*** The job descriptions related to LSU staff are outdated.	***Karam Bechara (General Manager):*** JD's already sent to BBL for final validation and still pending.	Regular
29	OA	12-24	L		***Annual Leaves (071-BBS-OA-012-18):*** All staff members did not take 10 consecutive days as required.	***Karam Bechara (General Manager):*** يتم التقيد بجدول الإجازات السنوية المرسل إلى قسم الموارد البشرية بما لا يتعارض مع مصلحة البنك وضرورات العمل.	Procedure
30	OA	12-24	L		***Legal Expenses (071-BBS-OA-012-18):*** Advances on legal fees paid to external/internal lawyers were not properly controlled and monitored, which resulted in having 10 advance payments pending in the legal suspense account (reaching seven years in one case). Also, one expense claim was	***Karam Bechara (General Manager):*** بحسب ما تم انجازه منذ منتصف عام ٢٠١٨ ولغاية تاريخه وبحسب ما اطلعتم عليه فإن كافة الفواتير الخاصة بعمل الدائرة القانونية والمحامين يتم أرشفتها وتنظيمها بجداول تتضمن كافة المعلومات المطلوبة، وفيما يتعلق بالأمور المالية المعلقة مع مكتب الدكتور متري فهي في إطار المعالجة وننتظر تزويدنا بالمطلوب	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					reimbursed although concerned lawyer benefited from an advance on legal fees amounting to SYP 200K; and one advance payment to an internal lawyer was partially borne by the Bank upon the lawyer resignation.	بحسب ما تم الاتفاق معهم عليه في آخر اجتماع.	
31	OA	12-24	L		***Filing and Safeguarding of Documents (071-BBS-OA-012-18):*** LSU did not keep a copy of ملفات الحجز التنفيذي nor an acknowledgment of receipt from the courts listing the original documents submitted to proceed with the legal action.	***Karam Bechara (General Manager):*** بالنسبة للمستندات الأصلية الخاصة بالملفات المحولة للمتابعة من قبل الدائرة القانونية نبين أنه يتم استلامها من الدائرة القانونية أصولاً والاحتفاظ بها في قاصات مضادة للحريق لحين ايداعها في صندوق المحكمة والمباشرة بالاجراءات القضائية بالنسبة لكل ملف. كما تم تصوير الملفات التنفيذية ويتم تنظيمها في الجداول الخاصة بها، بالإضافة إلى صور ضوئية عن الملفات التجارية كافة بإستثناء صور الملفات المتابعة من قبل مكتب الدكتور متري تم طلبها مرارا وتكرارا والاجتماع معهم أكثر من مرة ولازلنا بانتظار تنفيذه لوعوده وتزويدنا بالمطلوب، مع التأكيد أنه يتم تزويدنا بتقارير دورية بالإضافة إلى الوثائق المؤيدة عن كافة الملفات التجارية والتنفيذية المتابعة من قبل كافة المحامين ويتم إضافة التحديثات على الجداول الخاصة بها وإرسالها إلى الإدارة أصولاً.	Regular
32	OA	12-24	L		***Trainings (071-BBS-OA-012-18):*** All Legal Support Unit staff members did not attend trainings about legal matters and banking operations (e.g. LCs, LGs, etc.).	***Karam Bechara (General Manager):*** تم التوجيه بضرورة الالتزام بحضور دورات تدريبية لعام ٢٠١٩ لكافة موظفي القسم كل بحسب حاجته بالإضافة إلى أننا سنزود إدارة الموارد البشرية بأنواع الدورات التدريبية التي يحتاجها القسم أو بأي دورة تدريبية نعلم بها وتكون مهمة لتطوير كفاءة محامي وموظفي الدائرة على الصعيد القانوني المصرفي أو العمل الإداري والمالي، كما يتم وضع تصور لدورة تدريبية معدة من الدائرة	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
						القانونية تتضمن استضافة المحامين من كافة المحافظات ويكون المشرف عليها قضاة من مختلف المحاكم السورية للنهوض بالعمل القانوني المصرفي ، وسيتم عرض المشروع على الإدارة لدراسته واتخاذ القرار المناسب بهذا الخصوص، كما تم حضور عدة دورات تدريبية لغاية تاريخه من قبل عدد من أعضاء الدائرة فيما يتعلق بالكفالات المصرفية و أصول التنفيذ المصرفي.	
33	OA	12-24	L		***Annual Leave & Job Descriptions (139-BBS-OA-019-17):*** 4 Compliance employees did not sign their related JD and 2 Compliance Officers and Transaction Monitoring Officer were promoted, yet their related JDs were not updated and signed accordingly. In addition, 4 out of 13 employees did not take 10 consecutive days of annual leave during 2019.	***Karam Bechara (General Manager):*** ***Ajia Shaheen (Head of Compliance Unit):*** The requested JD already sent to the HR. ***Sherehan Saloum - Head of Recruitment & Training & Personnel Section:*** JD's sent to BBL for final validation and still pending.	Regular
34	OA	12-24	L		***Compliance Procedures (139-BBS-OA-019-17):*** The existing procedures governing the Compliance function and the FATCA identification process, were recently implemented/updated; yet, they need to be reviewed to include new changes or clarify some processes (e.g. Compliance Procedure: CBOS internal controller roles and responsibilities, the forced closure process of the recalcitrant clients' accounts, etc.).	***Karam Bechara (General Manager):*** In process we are working on amending the compliance procedure.	Procedure
35	OA	12-24	L		***CMLC Enquiries (139-BBS-OA-019-17):*** The CMLC requests were not always handled and replied in a timely manner where in 4 instances, no reply was submitted to the CMLC	***Karam Bechara (General Manager):*** Done please recheck it.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					and in 18 others cases, the replies were sent to CMLC with significant delays; thus, the Compliance posting restriction and FIU flagging were either not set or set on the related CIFs with delays. ***Audit Comment***: CMLC requests handling will be tested and accordingly observations will be assessed.		
36	OA	12-24	L		***Due Diligence (139-BBS-OA-019-17):*** The screening of the local transfers (not processed through Swift) is manually performed by the Compliance Unit on the next day. In addition, the due diligence performed by the Compliance Unit before granting clearance on the issuance of local LGs was not documented. ***Audit Comment***: Tests performed showed the due diligence performed by the Compliance Unit before granting clearance on the issuance of local LGs is not being documented.	***Karam Bechara (General Manager):*** Starting from today we will maintain a new check list for LGs with the supporting documents.	Regular
37	OA	12-24	L		***AML Transaction Monitoring (139-BBS-OA-019-17):*** 20 tested clients, who executed a significant amount/volume of credit transactions, have significantly exceeded the yearly income range declared on T24 without being properly followed-up by Compliance. Also, we noted the absence of a dedicated report allowing identifying cash deposits followed directly by cash withdrawals on different accounts. In	***Karam Bechara (General Manager):*** Please reassess the issue.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					addition, the banker check report extracted from web reporting is missing the payment details and the report of inactive accounts lacked the type of transaction executed on the account (deposit, withdrawal, transfer etc.). Moreover, the transaction monitoring reports including the Compliance Alert Report were only controlled by the Compliance Officer or the branch Transaction Monitoring Officer without being subject to a second review by the Head of Compliance as required in the procedure and in 2 out of 13 days, the Compliance Unit did not check the report of Incoming Transfers (FOFA Report). ***Audit Comment***: Issue will be reassessed during our next audit.		
38	OA	12-24	L		***Transaction Monitoring Officer & Site Visits (139-BBS-OA-019-17):*** Although it is a Regulatory requirement, no Transaction Monitoring Officer (TMO) was appointed for the "Middle Region" that includes Homs, Hama and Aleppo branches, noting that this derogation was not approved by the CMLC. Also, Compliance Unit did not prepare a yearly plan for the TMO visits to branches and the latter's visits were not recorded on a dedicated register. It is worth noting that Hama and Aleppo branches were not subject to any site visit during Q1 2019, as for other branches, the visits were randomly	***Karam Bechara (General Manager):*** Please recheck it because we already have yearly plan for the visits (monthly and for some branches quarterly).	Procedure

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					done without following a predefined frequency (quarterly, monthly etc.). ***Audit Comment***: TMO did not conduct any site visit to Hama & Aleppo branches. Also, no Transaction Monitoring Officer (TMO) were appointed in each region in contradiction with decree #19. Hence, remains outstanding.		
39	OA	12-24	L		***Letters addressed to CMLC (139-BBS-OA-019-17):*** The letters addressed to the CMLC for the suspicious transactions, forged checks, or fraud activities were solely signed by the Head of Compliance Unit without obtaining the General Manager signature as required in the procedure. In addition, the forged checks or fraud activities, reported to the CMLC were not recorded in a dedicated register. On the other hand, we noted that in 4 out of 6 suspicious transactions reported by branches to the Compliance Unit, the decision taken regarding the related client was not supported by the Head of Compliance Unit's signature as evidence of approval.	***Karam Bechara (General Manager):*** We will amend the procedure. The branch action is to report to us all needed details in STR. Noted	Procedure
40	ITA	6-12	L	12/31/2021	***Manual Reconciliation Process (BBS - SYGS-2019):*** Currently, the reconciliation between SyGS and T24 is being manually performed by the Operations Department (OD) at the SyGS end of daily session. Several steps are being manually performed to check the inward and	***Karam Bechara (General Manager):*** Starting August 2019 we are doing the following reconciliation process on SYGS account: • On daily basis, Reconciliation & Financial Control Officer extracts the data from SYGS system on excel sheet.	System Enhancement

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					outward transactions, and to compare the balances between the two systems. In addition, on the next working day, the Finance & Treasury Department (FTD) is manually checking the balances between CBoS account and SyGS. However, a systematic reconciliation process is currently not in place to detect discrepancies in transactions' details. We recommend BBS to ensure that transactions details are reconciled between SyGS and T24, and to study the possibility of automating the reconciliation process to ensure that all unmatched transactions are promptly identified and corrected. It is worth mentioning that a decision was taken by the FTD to enhance the reconciliation process by uploading on T24 system the report generated from SyGS to automatically match each transaction processed with T24 data.	• Reconciliation & Financial Control Officer matches the data between our ledger (Globus T24) and statement (SYGS) on excel sheet. • In case of discrepancy in the value date/amount/reference, the Reconciliation & Financial control Officer exerts all efforts to identify the reason of discrepancy. In some cases, the difference is justified according to the type of transactions (e.g. difference in transactions reference, difference in value dates, etc…). • After finishing the reconciliation process on excel sheet, Reconciliation & Financial Control Officer matches all amounts in our ledger on Globus T24 (account 1000167001010). • For the unjustified records, the Reconciliation & Financial control Officer follows-up via email with Transfers & Payment Dept. to adjust the mismatch. Our recommendation We need to interface between T24 and SYGS to extract the data and uploaded automatically to T24.	
41	ITA	6-12	L		***SSL Certificate is Expired (BBS - SYGS-2019):*** While checking the SyGS application, we noticed that the (Security Socket Layer) SSL certificate of the https://192.168.1.145 was expired since December 27, 2018. SSL certificates allow a person, computer or	***Karam Bechara (General Manager):*** CBoS is not be able to provide SSL Certificate due to the current embargo.	System Enhancement

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					organization to securely exchange information. It is worth mentioning that CBoS is the owner of the SyGS certificate. We recommend BBS management to coordinate with CBoS in order to provide BBS an updated certificate to ensure security.		
42	ITA	6-12	L		***SyGS Logs and Audit Trail (BBS - SYGS-2019):*** We noticed during our fieldwork that a report containing all SyGS transactions with their respective Inputter and Authorizer is not in place. It is worth mentioning that SyGS transactions details can be extracted without the Inputter and Authorizer. In addition, the returned transactions reasons field "Sender to Received Information" can't be also extracted. On the other hand, we noticed that an audit trail maintaining all administrator, LSO and RSO users' activities can't be extracted to be reviewed. We recommend BBS to coordinate with CBoS to check if an audit trail is in place and can be extracted. In addition, to check the possibility to extract SyGS transactions with their respective Inputter, Authorizer, and "Sender to Received Information".	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** CBoS still has not released the new version of the SyGS application.	System Enhancement
43	OA	6-12	L		***Job Descriptions & Annual Leave (033-BBS-OA-007-19):*** The job description signed by BCU staff did not reflect their currents tasks and responsibilities.	***Karam Bechara (General Manager):*** Issue raised to our management and will inform you back when solved.	Procedure
44	OA	0-6	L	3/31/2020	***Policies and procedures (075-BBS-OA-015-19):*** The existing procedure governing the transfers	***Karam Bechara (General Manager):*** The interface was supposed to be done the	Procedure

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					and payment processes was recently updated; yet, it needs to be reviewed to include new processes related to RTGS and amend some processes (e.g. decree #508 related to the incoming transfer which was cancelled by the CBoS).	first quarter of the current year so that we could update the procedure but for the time being we can't update it since the request form sent to GTS service desk under reference ID CP2941 dated 20 June 2018 concerning the interface between SYGS and T24 is on hold and as mentioned above, BOD decided to change the Core Banking system.	
45	OA	0-6	L	3/31/2020	***Annual Leaves & Job Descriptions (075-BBS-OA-015-19):*** One employee out of two did not take ten consecutive working days of annual leave and five employees did not deactivate their T24 profiles upon taking their annual leaves, in eight instances. Moreover, the RTGS profiles were not deactivated upon the annual leaves of the related users during all the tested period. ***Audit Comment***: All employees took ten consecutive working days during 2019. Hence, related part will be considered cleared.	***Karam Bechara (General Manager):*** Solved, please reassess the issue.	Procedure
46	OA	0-6	L	3/31/2020	***Monitoring Reports (075-BBS-OA-015-19):*** We tested the monitoring reports over a sample of twenty days and noted the following: 1- The end of day journal was not printed by T&P unit in one day. 2- The monitoring report was checked by a senior officer/officer rather than the Head of	***Karam Bechara (General Manager):*** Solved, please reassess the issue.	Regular

N.	Audit Dept	Aging	Risk	New Due Date	Situation as at March 31, 2020	Reply as at March 31, 2020	Issue Category
					Unit as required in In fifteen days. 3- The inter-branch suspense account report was not generated in nine days.4- The list of outgoing and incoming transfer was not generated in one day. In addition, the inter-branch transactions report was generated before the end of day in six days noting that several transfers were executed afterwards. ***Audit Comment***: We tested the monitoring reports over a sample of three days and noted that the end of day journal were printed and checked by the Head of Unit. Hence, related part of the issue will be considered cleared. Part related to inter-branch transactions report generated before the end of day remains outstanding since it was noted in two out of three tested days.		

APPENDIX II - INDEX OF CLEARED/DOWNGRADED ISSUES

N.	Audit Dept.	Aging	Risk	Status	Situation as at March 31, 2020	Reply as at March 31, 2020
1	OA	0-6	M	C	***Outgoing Transfers Processing, Amendment & Cancellation (075-BBS-OA-015-19):*** In 1 out of 70 cases related to local outgoing transfers, BBS Compliance clearance was obtained 10 days after the execution date of the transfer, while in another case it was authorized by T&P with a delay of 6 working days. Also, 1 outgoing transfer had unclear payment details was returned by the counterparty. ***Audit Comment***: We tested a sample of 5 outgoing transfers and 5 returned outgoing transfers and noted no irregularities. Hence, issue cleared.	***Karam Bechara (General Manager):*** Point: 2 solved, please reassess the issue. Concerning the point one: please refer to the concerned branch as it was supposed to check the existing of the compliance clearance before authorize it that branch authorizer .the last point please refer to compliance department as the said transaction holds their clearance.
2	OA	0-6	M	C	***Incoming Transfers Processing (075-BBS-OA-015-19):*** 3 incoming transfers (out of 60 tested) were credited into the clients' accounts despite some irregularities: in one case, the beneficiary's name on the letter received did not properly match with the one on T24, BBS Compliance clearance was not obtained in another case and payments details were missing in one incoming transfer. ***Audit Comment***: We tested a sample of 6 incoming transfers and noted no irregularities. Hence, issue cleared.	***Karam Bechara (General Manager):*** The points 2- 3 solved, please reassess the issue. concerning the first point and the last point , please refer to the concerned branch "es" as this process is approved by BBS and BBL concerned parties and mentioned in T.P.U. procedure specially a mandatory field name " BROSF" has been opened and to be filled by branch in case of any missing or insufficient of purpose of payment.
3	ITA	6-12	M	C	***BBS Router Weaknesses (BBS - SYGS-2019):*** Currently BBS is connected to CBoS through the CISCO Router 1841 that has several weaknesses: 1- Same password is being used by the Telecom Unit and BBS IT support to administer the Router. No dedicated users are created to manage the routers. 2- The router is not linked to AAA server (Cisco secure) to manage and	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Action completed as per attached email and so all points closed 1- AAA authentication with ISE 2- SSH enabled, Telnet disabled 3- Logs are now retained, monitored and tested thru SIEM.

N.	Audit Dept.	Aging	Risk	Status	Situation as at March 31, 2020	Reply as at March 31, 2020
					authenticate the administrators' users. Currently default account is being used to access the network device. 3- Telecom are using the TELNET protocol to access the Router. 4- The Router is not linked to SIEM and logs are not retained to be able to monitor their activities and detect unauthorized and suspicious events. We recommend BBL GTS Telecom Unit to:1- Configure the router to the AAA server, CISCO secure. Consequently, dedicated users will be created for administrators.2- Study the possibility of using the SSH instead of TELNET.3- Coordinate with the Information Security Department (ISD) in order to link the Router to SIEM to be monitored. ***Audit Comment***: Action was taken and proper settings were performed on the Router.	
4	OA	12-24	M	C	***CIFs Amendments (139-BBS-OA-019-17):*** While reviewing the CIFs' amendments on T24, we noted that profiles granted to the Compliance employees were subject to improper segregation of duties; as such, the addition/removal of any compliance flag/posting restriction on T24 can be performed solely by a Compliance inputter without requiring any system authorization (Issue partially rectified). In addition, the banking relation of a CIF can be changed by the branches from "No" to "Yes" without requiring BBS Compliance authorization in T24. ***Audit Comment***: The change of a CIF banking relation by the branches from "No" to "Yes" requires BBS Compliance authorization in T24. Also, the	***Karam Bechara (General Manager):*** Done.

N.	Audit Dept.	Aging	Risk	Status	Situation as at March 31, 2020	Reply as at March 31, 2020
					addition/removal of any compliance flag/posting restriction on T24 requires system authorization. Hence, issue cleared.	
5	ITA	12-24	L	C	***Active CIFs with No or Expired Signatures (149-BBS-IT-024-18):*** Based on the substantive test conducted to compare T24 CIFs/accounts with SigCap data extracted as of October 2018, we noticed that approximately 288 active CIFs having 371 related accounts on T24, do not have a signature on SigCap. As stipulated in the PSY 36 procedure, upon the creation of a new CIF, several steps should be performed to create a Specimen of Signature on SigCap.On the other hand, we also noticed that some active CIFs have expired signatures that needs to be checked. We recommend BBS Branch Coordination Unit to check the list of active CIFs/accounts with no or expired signature and take proper action. Although a report on the newly opened CIF is being sent by the SigCap unit to inform branches that new CIFs were opened and new signatures were not received; however, a continuous monitoring on the outstanding CIFs with no signatures should be in place. Consequently, control reports should be requested in this regard (if not available). ***Audit Comment***: Branch Coordination Unit is following on all pending expired signatures. Related documents were provided. Issue will be cleared.	***Karam Bechara (General Manager):*** BCU now following all pending expired signatures, please remove this issue.

APPENDIX III - INDEX OF BRANCHES ISSUES

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
GENERAL SUPERVISION					
EOD Verification Process *(Journals by User are checked and signed by a non-related employee against related daily vouchers; and required EOD Reports are signed by branch management)*	**1**	1	0	0%	H
Monthly Controls *(Controls should be performed by the Branch Management over sensitive banking instruments on a monthly basis)*	**3**	2	1	10%	M
Handing-Over Process *(Handing-over of banking instruments from a custodian to a replacement staff upon sudden and annual leaves)*	**6**	5	1	10%	M
Management Responsibilities *(Branch Management checks the required documentation before giving any authorization, communicated e-mails and instructions to staff, circulates the branch, and solves clients' complaints. Branch Manager does not have excess familiarity with staff or clients)*	**1**	1	0	0%	H
Annual Leaves *(All staff should take 10 days of uninterrupted vacation unless properly approved)*	**2**	2	0	0%	H
Custody & Classification of Documents *(Blank forms are kept in locked cabinets and account opening contracts for active CIFs as well as other originals should be kept in locked fireproof cabinets)*	**3**	3	0	0%	M
Custody & Management of Keys *(A register for the allocation of keys exists, and is properly maintained. Keys are segregated to ensure dual access to all sensitive areas such as the strong room)*	**0**	0	0	0%	M
TOTAL	**16**	**14**	**2**		
ACCOUNT OPENING					
Account Opening Contracts *(Every document relating to the account opening file should be initialed by the compliance officer in the branch (ABM). Contracts are properly filled, approved and filed; and no information is missing, mainly date, address, phone, etc.)*	**8**	5	3	30%	H
TOTAL	**8**	**5**	**3**		
CLIENTS' INSTRUCTIONS					
Fax Instructions *(Clients transacting via fax should have signed the required fax*	**4**	2	2	20%	H

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
instruction form and attached the required documents)					
Standing Instructions *(Standing Orders should be properly handled and recorded on the register).*	**9**	7	2	20%	M
Stop Payment Instructions *(Stop Payment Instructions should be properly handled, recorded on the register and inputted in T24 System)*	**0**	0	0	0%	H
Outward Transfers *(Approved by relating clients, accounting entries properly booked, commission collected, swift received)*	**2**	2	0	0%	M
Correspondences *(All correspondences are backed up by original requests and duly signed).*	**6**	4	2	20%	M
TOTAL	**21**	**15**	**6**		
PROXIES					
Clients' Proxies *(Clients' signatures on Proxies are verified for authenticity; and ID of the proxy holder should be obtained and verified to the original. Proxies should be approved by Branch Management; and recorded both on the register and on T24)*	**3**	2	1	10%	H
Employees Proxies *(A prior approval from Branch Coordination should be obtained to issue a proxy for any staff member)*	**0**	0	0	0%	H
TOTAL	**3**	**2**	**1**		
CASH MANAGEMENT					
Cash Counts *(Tellers' tills are counted on a weekly surprise basis and the process is properly documented)*	**2**	2	0	0%	H
Cash Limits *(Tellers respect the cash limits preset by the insurance policy)*	**1**	1	0	0%	H
Cash Handling *(Entrance to the vault is dually done and properly supervised by a member of branch management. Cash transportation is done with the presence of the Main Teller and ABM/BM in a secure place)*	**6**	4	2	20%	H
ATM Replenishment (*ATM replenishment is securely and dually performed)*	**0**	0	0	0%	H
TOTAL	**9**	**7**	**2**		
ANTI-MONEY LAUNDERING					
Anti-Money Laundering Process *(Economic Right of Ownership form should be filled with every account opening contract, and when branch management has any suspicions on incoming transactions)*	**8**	3	5	50%	M

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
TOTAL	**8**	**3**	**5**		
CARDS MANAGEMENT					
Plastic Cards Management (*Plastic cards and pin codes are properly handled by separate custodians, placed in a safe location and periodically controlled by Branch Management)*	**5**	4	1	10%	H
TOTAL	**5**	**4**	**1**		
CHECKS MANAGEMENT					
Banker Checks *(Banker checks are properly approved before issuance, commission is properly collected)*	**0**	0	0	0%	H
Returned Checks *(Returned checks are properly handled and documented; and commission collected)*	**0**	0	0	0%	M
Clients' Checkbooks *(Checkbooks should not be held at the branch for more than 4 months; and their custody and delivery must be controlled by branch management)*	**2**	0	2	20%	M
Byblos Bank Checks Paid Cash *(Byblos cheques paid at the counter are stamped as Paid)*	**0**	0	0	0%	M
TOTAL	**2**	**0**	**2**		
TELLERS' TRANSACTIONS					
Teller Transactions *(Queue line is properly enforced, and tellers are not handling more than one client at a time and are securing their workstations when away. Cash is paid directly to and received from the customer and not through a third party)*	**7**	3	4	40%	H
Verification of Clients' Signatures *(Client's signature on all documents is properly verified with Sig-Cap or the specimen of signature in the branch)*	**4**	3	1	10%	H
Stamps *(Stamps are properly secured, recorded and maintained)*	**0**	0	0	0%	L
TOTAL	**11**	**6**	**5**		
RETAIL LOANS & BILLS					
Retail Loan Review *(Loans are properly granted to the client and in accordance to requirements in the internal policies and procedures; proper approval and required guaranties are obtained. Files are properly handled by the custodian, and placed in a secure place)*	**3**	3	0	0%	H
Bills Management *(Bills are not under the tellers' custody, the delivery of bills is only*	**1**	0	1	10%	M

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
performed once the custodian ensure the payment and proper processing of the bill. Monthly inventory of the bills is performed by a person other than the custodian and properly documented)					
TOTAL	**4**	**3**	**1**		
INACTIVE ACCOUNTS					
Inactive Accounts *(Inactive accounts are properly activated and approved by Branch Management after following the required procedures; including obtaining client's signature on a confirmation of balance along with signature verification & copy of client's ID).*	**0**	0	0	0%	H
TOTAL	**0**	**0**	**0**		
SAFE BOXES					
Safe Boxes *(Safe box rentals should be backed up by properly signed contracts. Provisions should be available and yearly rental fees properly booked).*	**1**	0	1	10%	M
TOTAL	**1**	**0**	**1**		
TRADE FINANCE MANAGEMENT					
LC Process *(LC documents are kept in a fire-proof cabinet and delivered to the concerned client after ensuring the settlement)*	**0**	0	0	0%	M
TOTAL	**0**	**0**	**0**		
GENERAL SECURITY & BANK'S IMAGE					
General Security & Bank's Image Issues *(Branch Management is taking the necessary measures to maintain the security of the branch's premises. The branch premises are kept in good shape to reflect the bank's image and reputation).*	**7**	1	6	60%	L
TOTAL	**7**	**1**	**6**		
GRAND TOTAL OF BRANCHES ISSUES	**95**	**60**	**35**		